China

Overcapacity tracker

June data continue to show a divergence between new-economy and traditional sectors. External demand is playing an increasingly important role in absorbing domestic capacity. We see evidence of China moving up the technology value chain.

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Strong becoming more concentrated. China's June production and export data continue to show a divergence between new-economy and traditional sectors, although strength is increasingly concentrated in select upstream and enabling technologies.

External demand is playing an increasingly important role in absorbing domestic capacity. Household appliances appear to be benefiting from more balanced external demand, as seen in the sharp production-export divergence in autos and air conditioners.

Exporting overcapacity remains the main theme, but the composition is shifting. The June data remained consistent with our view that the movement of goods from China would accelerate and broaden across sectors, although they increasingly differentiate between capacity-clearing exports and products benefiting from stronger pricing or an improving mix.

Traditional capacity-heavy sectors remain weak domestically. Cement and select industrial products remain more characteristic of traditional overcapacity exports.

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Analysing the data: Export strength meets domestic divergence

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Strong becoming more concentrated. China's June production and export data continue to show a divergence between new-economy and traditional sectors, although strength is increasingly concentrated in select upstream and enabling technologies. Integrated circuit production remained robust at 18.8% y/y, albeit moderating from 22.9% in May, while export value growth accelerated further to 121.9%, despite export volumes declining marginally by 0.3%. This suggests that the semiconductor export story is increasingly being driven by higher unit values and/or a shift towards higher-value products rather than shipment growth alone. Lithium-ion batteries also remained resilient, with export volumes and values rising 23.5% and 31.7%, respectively.

By contrast, the NEV complex showed a widening disconnect between domestic production and external demand. June output fell 34.2% for hybrid passenger cars and 32.4% for plug-in hybrids, while pure electric vehicle production was broadly flat at -0.6%. Yet export volumes remained strong, rising 105.3%, 183.3% and 81.3%, respectively.

Household appliances offered a more balanced picture. Refrigerator output, export volume and export value rose 14.7%, 18.9% and 19.5% y/y, respectively, while washing machine exports remained positive, with volumes and values increasing 11.9% and 9.8%. Air conditioners also recorded a June export turnaround, with export volumes and values returning to growth of 11.3% and 10.1%, respectively, following contractions in May, despite domestic production remaining weak at -9.6%. The timing coincides with record heat across Western Europe and rising demand for cooling equipment. Unlike traditional capacity-clearing exports, the broadly matched growth in air-conditioner export volume and value suggests that the improvement was primarily demand-led rather than driven by price discounting.

Overall, the recovery remains uneven, with the strongest in semiconductors and batteries, while the sharp production-export divergence in autos and air conditioners suggests that **external demand is playing an increasingly important role in absorbing domestic capacity**.

FIGURE 1. China's production/output data for key emerging and traditional sectors

	Production/Output Volume (y/y %)								
Industry/sector/product	**Oct-25**	**Nov-25**	**Dec-25**	**Jan-26**	**Feb-26**	**Mar-26**	**Apr-26**	**May-26**	**Jun-26**
Aluminum									
Alumina	2.23	2.32	2.87			2.80	3.09	1.62	4.46
Aluminium products	-3.89	0.00	0.49			-2.34	-1.22	6.94	
New Energy Vehicles									
Hybrid passenger cars	-17.52	-6.41	-1.50	4.93	10.33	24.41	28.61	-6.07	-34.19
Plug-in hybrid passenger cars	-10.91	-10.41	-7.80	-12.92	-41.65	-35.43	-17.69	-28.99	-32.36
Pure electric passenger cars	21.11	17.75	3.72	-21.96	-37.70	-19.54	-20.10	-7.83	-0.57
Lithium-ion Battery									
Household Appliances									
Air conditioners	-12.33	-23.64	-8.72			2.49	-8.57	-8.25	-9.63
Refrigerators	-2.04	9.68	11.34			16.57	23.55	18.58	14.65
Washing machines	0.06	7.96	-2.36			5.05	5.79	7.55	3.68
Solar Cells									
Integrated Circuits	17.70	15.60	12.90			20.60	22.10	22.90	18.80
Cement	-15.80	-8.20	-6.60			-21.00	-10.80	-8.10	-5.60
Fertilizers, Chemicals, Textiles									
Chemical fertilizers	-0.20	5.10	3.90			4.50	0.20	-3.90	-5.60
Chemical fiber	9.36	-0.81	17.65		6.93	-112.03	-8.71	-12.75	-3.64
Ethylene	19.19	12.83	84.46		0.32	-113.33	18.32	17.60	22.53
Synthetic fiber	7.33	-0.70	20.94		6.76	-112.04	-10.14	-15.38	-5.90
Synthetic rubber	-2.90	-7.02	-11.18		-4.52	-110.51	-9.37	20.42	54.51
Steel									
Steel products									
Iron and steel bar									
Angle steel and shaped steel	-0.90	-2.60	-3.80			-2.30	-1.70	-2.80	-0.42
Iron and steel sheet and plate									
Iron and steel wire rod									

Source: Bloomberg, National Bureau of Statistics, Wind, Barclays Research

Exporting overcapacity remains the main theme, but the composition is shifting. In late 2025, we argued that the movement of goods from China would accelerate and broaden across sectors in 2026 - an unintended consequence of anti-involution policies and persistently weak domestic absorption. The June data remained consistent with this view, although they increasingly differentiate between capacity-clearing exports and products benefiting from stronger pricing or an improving mix. Integrated circuits are the clearest example, with export value growth accelerating from 84.9% y/y in March to 99.6% in April, 110.9% in May and 121.9% in June, even as volume growth slowed from 12.9% in March to 3.6% in April, 2.0% in May and -0.3% in June. The widening gap between value and volume suggests an improvement in export unit values and/or product mix, making this less indicative of volume-led capacity clearing and more consistent with China moving up the technology value chain.

Aluminium also illustrates the growing differentiation within sectors. Aluminium-product export value surged 77.0% y/y against volume growth of 44.9%, pointing to higher unit values or an improving product mix. By contrast, alumina export value growth of 35.1% lagged its 58.8% increase in volume, indicating greater pricing pressure. The contrast suggests that China's export strength extends beyond the volume-led shipment of upstream commodities, with select higher-value manufactured products benefiting from more favourable pricing or mix.

Electrification remains strong, while solar and traditional sectors show clearer signs of capacity pressure. Lithium-ion battery exports re-accelerated in June, with volumes rising 23.5% y/y, up from 12.3% in May, while export values increased 31.7%. Although value growth has moderated from the 63-69% recorded in February-March, it continues to exceed volume growth, consistent with resilient global demand for EVs, energy storage and renewable integration. Solar cells, however, present a more mixed picture, with export volumes contracting 16.5% in June following an 11.2% decline in May, a sharp reversal from growth of 79.6% in March and 60.4% in April. Export values nevertheless returned to 13.2% growth in June, suggesting some stabilisation in pricing or a more favourable product mix despite weaker shipments.

Traditional capacity-heavy sectors remain weak domestically. Cement output fell 5.6%, while export volumes still rose 109.2% and values increased by a slower 88.4%, retaining the clearest signature of volume-led capacity clearing. Steel-product output was broadly flat at -0.4%, but exports improved modestly, with volume and value growth of 6.6% and 10.3%, respectively.

FIGURE 2. **China's export data (volume) for key emerging and traditional sectors**

	Export Volume (y/y %)								
Industry/sector/product	**Oct-25**	**Nov-25**	**Dec-25**	**Jan-26**	**Feb-26**	**Mar-26**	**Apr-26**	**May-26**	**Jun-26**
Aluminum									
Alumina	5.88	-10.53	10.53	-5.00	-28.57	-30.00	100.00	33.33	58.82
Aluminium products	-13.79	-14.93	5.88	10.20	16.22	-3.92	14.91	14.55	44.90
New Energy Vehicles									
Hybrid passenger cars	87.25	64.50	148.50	69.37	160.89	57.86	112.95	105.29	105.33
Plug-in hybrid passenger cars	231.34	507.86	462.00	197.40	115.54	86.43	107.77	70.64	183.32
Pure electric passenger cars	31.16	86.81	100.86	28.11	111.68	42.47	40.10	47.85	81.25
Lithium-ion Battery	17.17	22.70	21.62	26.61	29.43	34.21	5.73	12.30	23.51
Household Appliances									
Air conditioners	-29.28	-28.00	-20.58	-13.68	1.18	-9.57	-0.40	-10.80	11.33
Refrigerators	-5.51	5.49	6.45	12.55	26.46	-4.92	14.57	23.39	18.92
Washing machines	7.88	20.15	26.24	7.26	17.90	1.77	12.67	9.19	11.93
Solar Cells	73.15	106.31	66.89	8.68	20.57	79.63	60.37	-11.19	-16.47
Integrated Circuits	36.36	40.54	27.03	18.29	1.38	12.85	3.56	1.99	-0.31
Cement	247.73	177.27	237.77	361.11	239.02	343.66	232.50	188.89	109.18
Fertilizers, Chemicals, Textiles									
Chemical fertilizers	70.95	31.75	19.23	14.67	2.47	25.00	27.56	-5.41	-48.02
Chemical fiber	11.76	17.65	11.76	5.56	13.33	-5.26	15.79	4.76	5.00
Ethylene	6.90	27.40	19.20	59.80	43.90	36.10	262.60	182.00	
Synthetic fiber	15.33	5.21	32.39	-10.26	8.27	1.90	54.65	15.34	35.72
Synthetic rubber	0.60	14.20	-3.80	18.70	14.70	17.70	52.60	30.10	
Steel									

	Export Volume (y/y %)								
Industry/sector/product	**Oct-25**	**Nov-25**	**Dec-25**	**Jan-26**	**Feb-26**	**Mar-26**	**Apr-26**	**May-26**	**Jun-26**
Steel products	-12.52	7.54	16.14	-13.31	-2.49	-12.72	-9.20	-2.27	6.61
Iron and steel bar	27.55	29.55	29.45	-4.24	-7.75	15.66	13.84	8.33	32.24
Angle steel and shaped steel	9.52	37.25	55.93	10.34	34.88	12.90	8.47	-6.49	-9.72
Iron and steel sheet and plate	-22.67	0.00	10.83	-16.22	-12.64	-19.14	-17.52	-3.63	2.70
Iron and steel wire rod	-4.55	19.04	16.67	-32.00	50.00	-25.93	-3.57	3.85	4.17

Source: Bloomberg, National Bureau of Statistics, Wind, Barclays Research

FIGURE 3. China's export data (value) for key emerging and traditional sectors

	Export Value (y/y %)								
Industry/sector/product	**Oct-25**	**Nov-25**	**Dec-25**	**Jan-26**	**Feb-26**	**Mar-26**	**Apr-26**	**May-26**	**Jun-26**
Aluminum									
Alumina	-20.86	-43.33	-40.02	-47.97	-53.07	-41.35	61.41	26.31	35.06
Aluminium products	-7.65	-9.98	13.96	17.24	26.10	9.35	31.38	38.50	76.99
New Energy Vehicles									
Hybrid passenger cars	80.96	67.58	157.50	63.68	173.64	66.45	110.17	99.45	107.36
Plug-in hybrid passenger cars	170.88	359.36	377.44	192.87	130.49	88.93	108.76	70.10	175.47
Pure electric passenger cars	19.70	98.17	86.12	45.96	98.24	63.16	31.98	44.72	83.81
Lithium-ion Battery	24.66	17.48	25.34	33.26	63.43	68.82	29.88	37.09	31.74
Household Appliances									
Air conditioners	-29.55	-25.63	-19.79	-13.33	1.56	-10.60	-1.34	-7.33	10.09
Refrigerators	-6.71	7.66	4.49	14.17	21.13	-5.74	11.29	23.06	19.49
Washing machines	0.55	15.88	4.27	4.42	10.65	1.33	13.78	13.34	9.79
Solar Cells	4.38	34.09	18.23	-11.29	23.12	83.82	38.93	-7.34	13.16
Integrated Circuits	26.92	34.17	47.69	78.36	66.51	84.92	99.58	110.87	121.88
Cement	142.30	105.76	135.34	194.10	177.82	255.31	165.91	144.38	88.41
Fertilizers, Chemicals, Textiles									
Chemical fertilizers	101.24	40.17	17.02	24.43	2.47	41.77	46.02	7.78	-54.78
Chemical fiber	-14.88	-10.89	-11.88	-16.29	-12.22	-1.85	29.49	18.10	33.24
Ethylene	-1.90	-3.10	-2.10	-6.10	-8.90	-6.30	7.90	18.10	
Synthetic fiber	9.15	3.00	23.67	20.39	2.50	-3.20	50.20	14.30	39.54
Synthetic rubber	-24.00	-10.80	-33.40	2.50	-8.30	2.90	66.00	68.20	
Steel									
Steel products	-14.41	4.28	7.76	-20.37	4.83	-13.74	-8.23	-2.27	10.32
Iron and steel bar	16.60	22.08	16.54	-12.47	-5.15	12.93	14.06	9.92	35.94
Angle steel and shaped steel	0.42	33.71	46.67	7.64	36.42	12.53	9.37	-3.67	-7.34
Iron and steel sheet and plate	-21.65	-2.12	5.19	-22.69	-8.67	-18.41	-15.43	-2.12	7.18
Iron and steel wire rod	-10.23	9.86	10.72	-28.10	45.51	-22.22	1.18	4.13	11.34

Source: Bloomberg, National Bureau of Statistics, Wind, Barclays Research

Economics: A bifurcated rebalancing

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Price gains do not yet signal broad-based rebalancing

China's price indicators have improved notably in recent months, with both PPI and export prices moving higher. PPI turned positive in March, ending a 41-month period of decline, and rose further to a near four-year high in June. Export prices also returned to positive territory in April and increased by 8.9% y/y in May, marking the strongest gain since January 2023. However, the recent improvement in prices may not yet signal a broad-based strengthening in pricing power. The pickup in prices appears to have been driven largely by higher input costs amid global commodity and energy price movements, and stronger pricing in a narrow set of AI-related and tech sectors amid the global AI investment boom. For much of the industrial sector, supply-demand imbalances may remain in place.

The sectoral breakdown of export prices reinforced this uneven nature of price gains, with firmer pricing dynamics in high-tech sectors, such as semiconductors and electronics, while prices remained in pressure in a wide range of manufacturing sectors, including food and beverages (-10%), wood (-7%), paper (-7%), textiles (-5.4%), footwear (-8.6%), furniture (-11.8%), toys (-11.7%) and vehicles (-2.5%). This divergence echoes the broader bifurcation in the macro economy. In its latest quarterly Monetary Policy Committee meeting, the PBoC newly acknowledged the challenges of "structural divergence" in the economy, an addition relative to both the previous quarterly meeting statement and the Q1 monetary policy report released in May.

Exports as an outlet, with a high-tech tilt

External demand has become increasingly important for China's industrial sector, serving both as a source of growth for selected sectors benefiting from strong global demand and as an outlet for those facing weaker domestic demand. Exports exceeded market expectations in five of the six months in H1, with shipments recording a 27% y/y expansion in the latest June release. An important development is the continuing upgrade in export composition. Today, a growing share of export growth is driven by industries linked to AI, advanced manufacturing and the energy transition, rather than traditional manufacturing sectors competing primarily on scale and volume.

We estimated that semiconductors, particularly memory chips, and automatic data processing equipment together contributed around 8pp to headline export growth, accounting for more than 40% of the 17.6% y/y increase in exports during H1. In contrast, low-tech and labour-intensive sectors (around 15% of total exports) continued to lag, with footwear and toy exports remaining in contraction. This divergence in export performance may in turn reinforce the uneven pricing and profitability trends discussed earlier, with stronger demand in select high-tech sectors contrasting with continued pricing pressure across much of traditional manufacturing.

Trade frictions and supply-demand rebalancing efforts

More broadly, China's strong export performance has attracted increasing attention from major trading partners. As Chinese exports continue to gain market share across a range of sectors, key economies have stepped up trade defence measures, particularly in industries linked to EV and clean-tech supply chains, chemicals, and metal-intensive industrial products. The EU and China are also engaging in discussions over trade tensions in several sectors[1], highlighting concerns over China's expanding manufacturing footprint and export competitiveness.

1 "EU sets up three months of talks with China over €360bn trade deficit", the Guardian, 29 June 2026

Against this backdrop, recent policy messaging has increasingly emphasized the need to strengthen domestic demand and improve the balance between supply and demand. In April, China's Qiushi issued a rare warning against "blindly pursuing larger exports and trade surpluses," arguing that excessive trade surpluses could create "significant risks for economic development" and calling for a "moderate reduction" in the trade surplus[2].

At the same time, policy efforts have increasingly focused on addressing domestic supply-demand imbalances. On the supply side, the anti-involution campaign has continued to gain momentum, with the 2026 Government Work Report upgrading last year's call for "comprehensive rectification" to "deep rectification" (深入整治) of excessive and disorderly competition. Policymakers have also repeatedly called for the orderly reduction of outdated capacity and improvements in industrial discipline. Against this backdrop, the reintroduction of consumption taxes on lithium-ion batteries and solar cells points to a broader effort to guide capacity expansion and industry development.

On the demand side, authorities continue to emphasize the need to expand domestic demand. In July, China released its first dedicated five-year plan for expanding consumption, targeting retail sales of around CNY60tn by 2030 and placing greater emphasis on services consumption. At the same time, the proposed "Six Networks" initiative[3] aims to support investment across both traditional and emerging infrastructure sectors.

[2] "China Communist Journal Issues a Rare Call to Curb Trade Surplus", Bloomberg, 2 April 2026

[3] "China's massive infrastructure push targets domestic demand, growth stabilization", Xinhua, 25 May 2026

Appendix

FIGURE 4. Anti-involutionary measures by industry

Industry	Anti-involutionary measures		Government agencies
Auto/EV	17-Jul-26	The MIIT summoned key automakers, urging them to resist "irrational competition" and pledging to step up oversight and inspection of production consistency and quality.	Ministry of Industry and Information Technology
	11-Jun-26	The MIIT and SAMR summoned automakers suspected of "irrational competition", requiring strict compliance with the Price Law and relevant rules and strengthened pricing compliance and quality control, to maintain a market order featuring fair prices and healthy competition.	Ministry of Industry and Information Technology, State Administration for Market Regulation
	12-Feb-26	The SAMR released guidelines that banned carmakers from pricing vehicles below cost, as part of the country's crackdown on a years-long price war in the auto industry. It also outlawed price-fixing between automakers and suppliers, and prohibited brands from forcing dealerships into money-losing sales through punitive rebate programs.	State Administration for Market Regulation
	14-Jan-26	The MIIT, SAMR and NDRC convened a meeting with the heads of 17 carmakers, during which the authorities pledged to step up investigations into production costs and price monitoring and warned of "severe penalties" against companies for violations, according to a follow-up statement by MIIT on 15 Jan.	Ministry of Industry and Information Technology, State Administration for Market Regulation and National Development and Reform Commission
	13-Jan-26	Nearly two dozen agencies, including the MIIT and MoF, held a gathering with energy companies and automakers on promoting the EV industry and restoring market order.	Ministry of Industry and Information Technology, Ministry of Finance, and other agencies
	18-Jul-25	The MIIT, NDRC and SAMR held a seminar on regulating the competition in the EV industry, with 17 major automakers present. The government will strengthen inspections of EV prices and quality and guide EV makers in deepening innovations and boosting product quality and safety.	Ministry of Industry and Information Technology, State Administration for Market Regulation and National Development and Reform Commission
	16-Jul-25	A State Council meeting chaired by Premier Li Qiang vowed to rein in “irrational competition” in the EV sector, stepping up monitoring of prices and costs, strengthening inspection on product quality and making sure carmakers' timely payments to suppliers. The meeting called for a long-term mechanism to regulate competition and better self-discipline in the industry, without providing more details on concrete actions.	State Council
	9-Jul-25	The MIIT launched an online platform to handle supplier complaints over late payments from automakers.	Ministry of Industry and Information Technology
	5-Jun-25	The MIIT, SAMR and NDRC summoned a dozen major EV makers, including BYD, Geely and Xiaomi, to “self-regulate” and to not sell cars below cost or offer unreasonable price cuts, also addressing issues such as “zero-mileage” cars and mounting bills owed to suppliers that are squeezing cash flow along the supply chain and acting as quasi-debt financing for automakers.	Ministry of Industry and Information Technology, State Administration for Market Regulation and National Development and Reform Commission
Platform/ Food delivery	17-Jun-26	The SAMR proposed new rules to curb food-delivery price wars by restricting platforms from forcing merchants into subsidy campaigns, shifting subsidy costs to merchants, engaging in below-cost selling, or using their financial strength for unfair competition. Major platforms including Meituan, Alibaba, and JD.com issued statements saying they support the measures.	State Administration for Market Regulation
	11-Jun-26	Beijing’s market regulator summoned five e-commerce giants—Taobao (Tmall), JD.com, Pinduoduo, Douyin, and Xiaohongshu—over misleading subsidy promotions, inadequate disclosure of seller and campaign information, and platform rules deemed harmful to consumer rights for the “618” shopping festival. Regulators ordered the platforms to rectify their promotional practices, curb price wars and excessive subsidies, and shift competition toward innovation, service quality, and fair market conduct.	Beijing Municipal Administration for Market Regulation
	23-Mar-26	The Beijing Municipal Administration for Market Regulation summoned 12 major platform companies, including travel site Trip.com, e-commerce giant JD.com, retail delivery platform Meituan and short video social platform Douyin, over hyper competitive behavior allegedly harming merchants and consumers.	Beijing Municipal Administration for Market Regulation
	13-Feb-26	The SAMR summoned seven major online platform companies including Alibaba, Douyin, Meituan, Baidu, Tencent, JD, and Taobao, directing them to rein in promotional practices and to eliminate all forms of "involution-style" competition.	State Administration for Market Regulation
	9-Jan-26	The State Council’s anti-monopoly and anti-unfair competition committee will look into competition behavior among food delivery platforms under China’s antitrust law through on-site checks, interviews and surveys, according to a statement released by the SAMR.	State Council, State Administration for Market Regulation

Industry	Anti-involutionary measures		Government agencies
	18-Jul-25	The SAMR held a regulatory talk with major food delivery firms - Meituan, JD.com and Alibaba's Ele.me, and urged them to engage in rational competition and to move away from price wars.	State Administration for Market Regulation
	13-May-25	The SAMR summoned major food delivery firms - Meituan, JD.com and Alibaba's Ele.me, urging them to compete fairly and avoid market distortion.	State Administration for Market Regulation
Solar	2-Jul-26	The MIIT, NDRC and SAMR introduced mandatory solar manufacturing energy-efficiency standards effective January 2027 to phase out outdated, high-energy production capacity and reduce industry overcapacity and price competition.	Ministry of Industry and Information Technology, National Development and Reform Commission and State Administration for Market Regulation
	28-Jan-26	The MIIT convened a symposium with solar industry entrepreneurs, listening to suggestions from companies and industry association on efforts to combat "involution" and pledging to curb "involution-style" competition.	Ministry of Industry and Information Technology
	9-Jan-26	The MoF and STA jointly announced to end value added tax rebates for exports of solar products from 1 April this year, and reduce the rebates for battery products by 3pp to 6% at the same time before fully scrapping them from 1 Jan 2027.	Ministry of Finance, State Taxation Administration
	6-Jan-26	The SAMR summoned six polysilicon companies including Tongwei and GCL Technology Holdings, along with the solar industry association, on monopoly risks amid consolidation bid, warning them not to coordinate on production capacity, sales volume and prices.	State Administration for Market Regulation
	26-Dec-25	The SAMR held a compliance guidance session in Hefei of Anhui Province, targeting the solar industry's price competition practices. During the meeting, the SAMR highlighted price violations and risks, requiring enterprises to prevent price-related illegalities and unfair competition practices.	State Administration for Market Regulation
	19-Aug-25	The MIIT and five other agencies held a symposium on the solar industry, stressing stepping up capacity regulation and curbing disorderly low-price competition.	Ministry of Industry and Information Technology
	3-Jul-25	The MIIT held a closed-door meeting with 14 leading solar companies, including Tongwei, Jinko, Trina, LONGi, and JA Solar, urging the solar panel industry to "manage the low-price disorderly competition" and "rectify this involution problem".	Ministry of Industry and Information Technology
Battery	9-Apr-26	Government agencies including the MIIT summoned leading battery makers for the second time in three months, urging 16 manufacturers of EVs and stationary batteries to restrict capacity expansion and avoid price wars and to "thoroughly understand the significance and urgency" of resisting unreasonable and improper competitive behaviour.	Ministry of Industry and Information Technology and other agencies
	6-Jan-26	Authorities summoned 16 leading battery makers, including CATL, BYD and Gotion High-tech, to a closed-door meeting with the MIIT, NDRC, SAMR and NEA to discuss avoiding overcapacity and price wars, followed by a statement from the MIIT on 8 Jan pledging to strengthen its market supervision and unnecessary construction will be "strictly controlled".	Ministry of Industry and Information Technology, National Development and Reform Commission, State Administration for Market Regulation and National Energy Administration
	28-Nov-25	The MIIT held a seminar with heads of 12 battery companies present to discuss market competition, intellectual property protection and difficulties in the industry.	Ministry of Industry and Information Technology
Finance	25-Apr-26	The PBoC and SAFE reiterated the need to curb "involution-style" competition in the country's finance industry. The PBoC highlighted the role of internal oversight, compliance and performance standards in addressing excessive or distorted competition.	People's Bank of China, State Administration of Foreign Exchange
Cross-industry/ General guidance	17-Jul-26	Head of the SAMR, Luo Wen, wrote in the People's Daily that China will step up its crackdown on "involution-style" competition, warning new forms of cutthroat market practices are emerging even as conditions improve in some industries.	State Administration for Market Regulation
	7-Jul-26	State broadcaster CCTV reports the SAMR will start inspecting fair competition reviews this year and step up efforts to curb "involution-style" competition.	State Administration for Market Regulation
	30-Jun-26	State broadcaster CCTV reports the SAMR starts an action from June through December to boost the efficiency of anti-monopoly oversight, supporting companies in pursuing M&A to avoid excessive competition.	State Administration for Market Regulation
	8-Jun-26	The CAC and SAMR jointly issued a document containing 12 provisions on regulating online product review and testing activities to uphold fair market competition.	Cyberspace Administration of China, State Administration for Market Regulation
	17-May-26	The SAMR released 34 key priorities aimed at bolstering the private sector, seeking to curb cut-throat price wars and foster a unified national market, calling for strengthening antitrust compliance and combating "involution-style" competition to ensure fairer business environment.	State Administration for Market Regulation

Industry	Anti-involutionary measures		Government agencies
	13-May-26	The SAMR announced a nationwide campaign running from May to December 2026 to address barriers to fair competition and the unified national market. The campaign includes enhanced law enforcement, inspections, and spot checks to curb improper interference with market competition.	State Administration for Market Regulation
	28-Apr-26	The April Politburo meeting mentioned the need to preserve an appropriate share of manufacturing and to intensify efforts against "involution-style" competition.	Politburo
	30-Mar-26	The SAMR released a notice further implementing the Anti-Unfair Competition Law, outlining a comprehensive initiative to curb "involution-style" competition by deploying a range of anti-unfair competition tools. The move targets sectors including platforms, solar, lithium-ion batteries and EVs.	State Administration for Market Regulation
	22-Mar-26	The PBoC said that Beijing is actively addressing involutionary competition by prohibiting local governments from offering unreasonable investment incentives and curbing banks' financing to sectors caught in rat races.	People's Bank of China
	19-Mar-26	At the 2026 national antitrust work conference held in Xiamen, the SAMR said this year's priorities include deepening fair competition governance, regulating market order, and addressing cutthroat competition.The regulator pledged to strengthen oversight of government behavior, targeting the misuse of administrative power to restrict competition.	State Administration for Market Regulation
	5-Mar-26	The GWR pledges to "address monopolies and unfair competition with greater intensity, enhance the binding force of fair competition review, and thoroughly address rat race competition with a full range of approaches, including production regulation, standard-based guidance, pricing compliance and enforcement, and quality supervision" .	National People's Congress - Government Work Report
	21-Jan-26	The SAMR vowed to promote a unified domestic market, with a focus on rectifying cases of "involution-style" vicious competition and aiming to break local protectionism and industry monopolies.	State Administration for Market Regulation
	20-Jan-26	The MoF pledged to enhance oversight, improve local government subsidy governance systems and resolutely curb involutionary competition.	Ministry of Finance
	20-Jan-26	The NDRC vowed to focus on advancing a national unified market by curbing disorderly price competition, improving capacity regulation and tightening boundaries for local governments attracting investment.	National Development and Reform Commission
	11-Dec-25	The CEWC pledged new regulations to build a national unified market and curb involutionary competition.	Central Economic Work Conference

Source: Official Websites, Bloomberg, Reuters, Media Reports, State Council, Barclays Research

FIGURE 5. China's Five-Year Plans: Strategic Focus & Sector Priorities

China's Five-Year Plans: Strategic Focus & Sector Priorities

FYP	Years	Strategic Focus	Priority Sectors / Industries
1st	1953–1957	Heavy industry, infrastructure, collectivization of agriculture	Steel, coal, machinery, railways
2nd	1958–1962	Great Leap Forward: rapid industrialization, rural communes	Steel, cement, agriculture (communes)
3rd	1966–1970	National defense, heavy industry, self-reliance	Defense, machinery, chemicals
4th	1971–1975	Continued industrialization, early modernization	Machinery, shipbuilding, chemicals
5th	1976–1980	Four Modernizations: agriculture, industry, defense, science & tech	Agriculture, defense, basic manufacturing
6th	1981–1985	Economic reforms, shift to market mechanisms	Light industry, consumer goods
7th	1986–1990	Poverty alleviation, foreign investment, basic subsistence	Agriculture, textiles, export-oriented manufacturing
8th	1991–1995	Market reforms, infrastructure, export-led growth	Infrastructure, electronics, textiles
9th	1996–2000	Moderate prosperity, SOE reforms, WTO accession prep	Telecom, electronics, automotive
10th	2001–2005	Post-WTO: industrial upgrading, urbanization, regional development	IT, automotive, real estate
11th	2006–2010	Scientific development, balanced growth, environment, social equity	Renewable energy, high-tech, services
12th	2011–2015	Green growth, energy efficiency, innovation-driven development	Clean energy, biotech, advanced manufacturing
13th	2016–2020	Digital economy, Internet+, moderately prosperous society, innovation, poverty eradication	AI, big data, robotics, EVs
14th	2021–2025	High-quality development, tech self-reliance, green transition, common prosperity, dual circulation	Semiconductors, AI, EVs, green energy, advanced manufacturing
15th	2026–2030*	Modernized industrial system, AI+, innovation-driven growth, greater self-reliance, advanced manufacturing, future industries, investment in people	Quantum tech, biomanufacturing, hydrogen energy, 6G, aerospace, embodied intelligence

* Recommendations of the Central Committee of the Communist Party of China for Formulating the 15th Five-Year Plan for National Economic and Social Development
Source: State Council, Barclays Research

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